

Econ 2 - Lecture 3 - 4/6/26

Lecture Quiz #1 Results Posted Later today

Lecture Quiz #2 released 4/8, due 4/13 @ 12:30pm

Lecture Quiz Grading: 10% of total grade

If in-class questions (on TopHat, during lec

Above 50% $\rightarrow$ 40 quiz questions = full credit

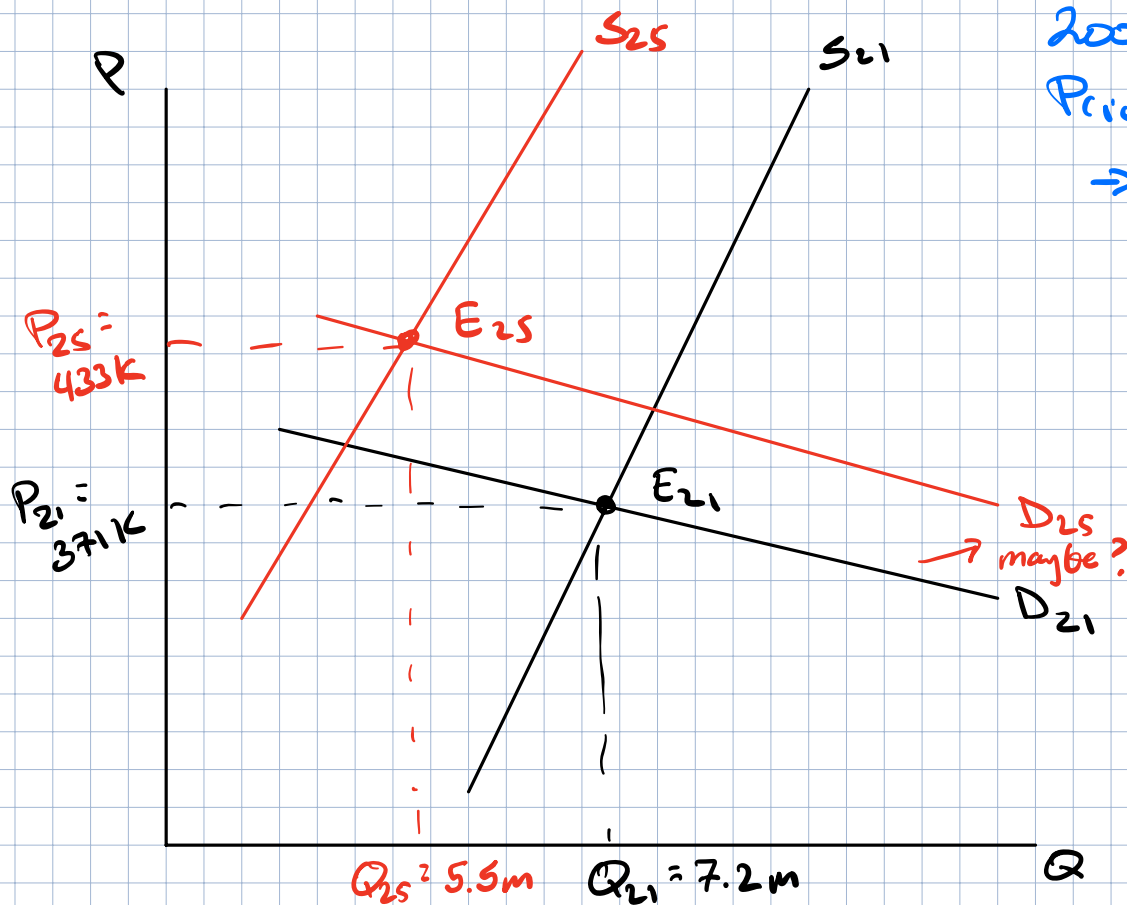
Below 50% $\rightarrow$ 50 quiz questions = full credit

Discussion Activity #1: Video Guide Posted

Go to Redfin Data Center, examine state-level data,
Assess health of housing market using website, compare to AI

Last class: Housing Market since 2020

Where are we today?



2000s Housing Bubble
Prices rising fast

$\rightarrow$ speculators
bidding up
home above
underlying
value

Why did
home prices
rise between
2021 & 2025?

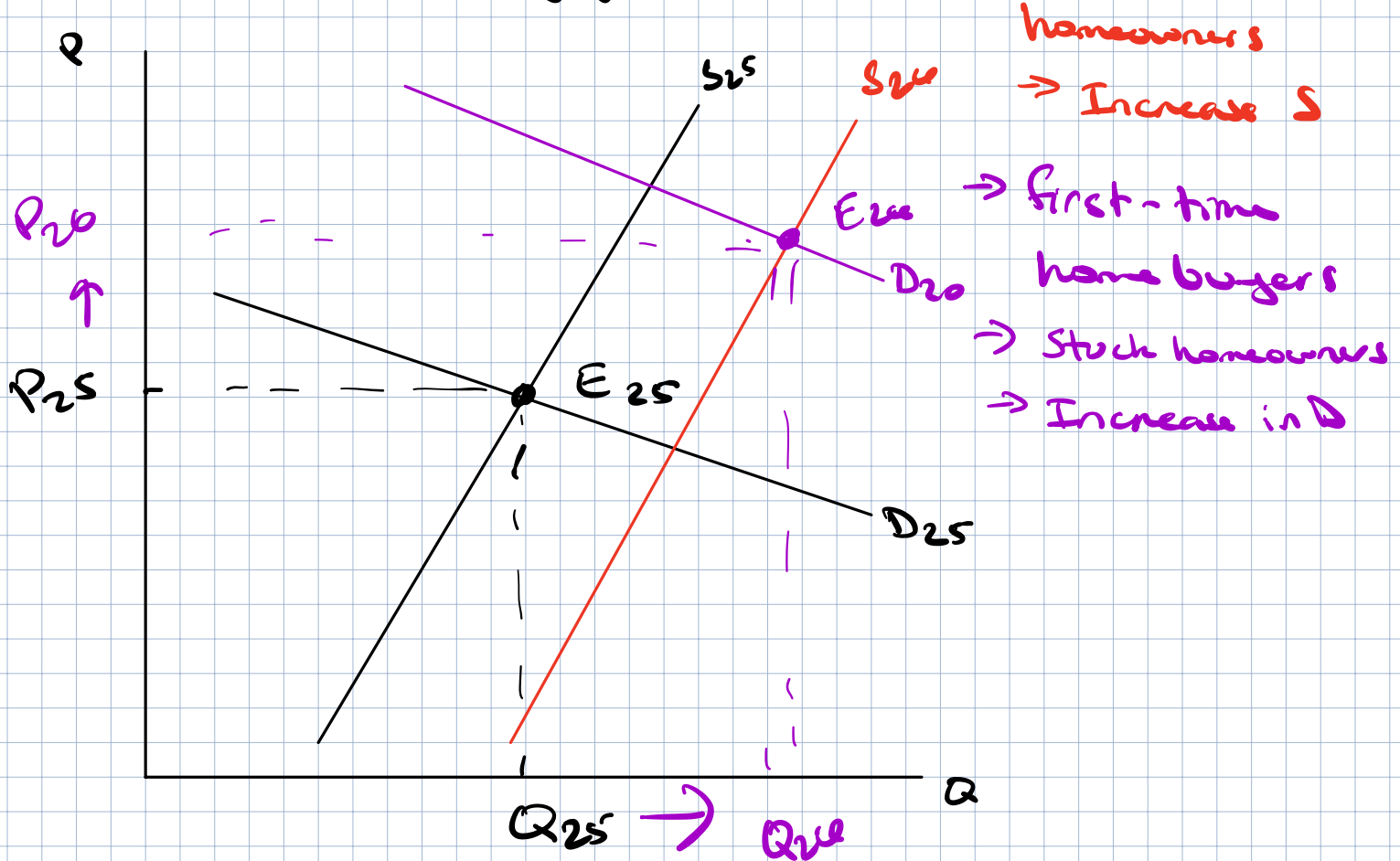
$\downarrow$ in S
Because $P \uparrow$, $Q \downarrow$

Has to make housing more affordable?

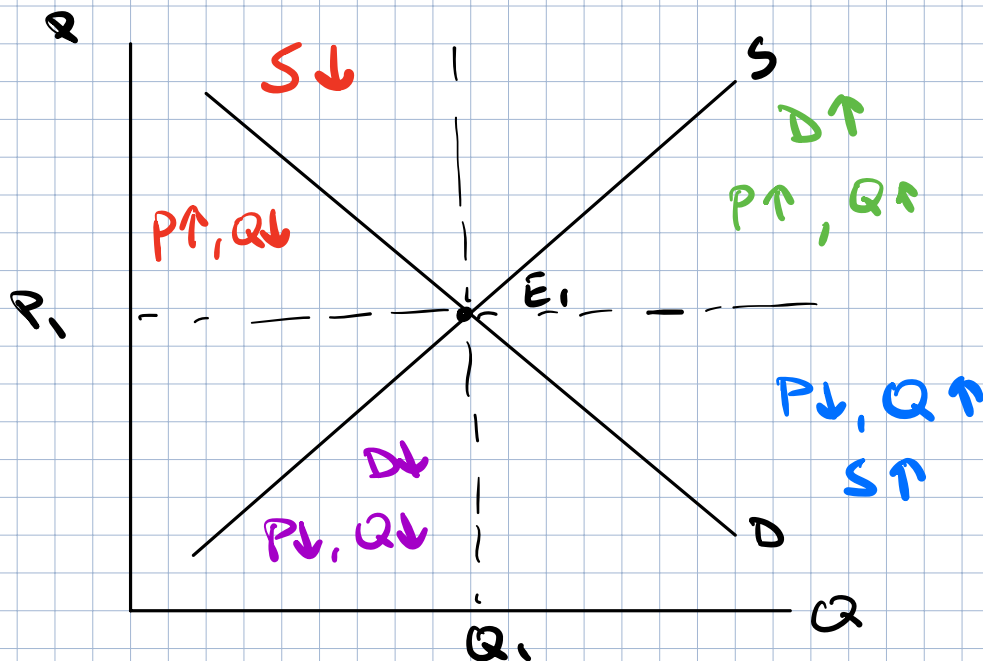
→ Cheaper monthly payments? ✓

→ Lower sale price → offset by lower payments

Proposal deduce mortgage rates → Release stock



Final Summary → Shifts in S & D



	No Change in Supply	Increase in Supply	Decrease in Supply
No Change in Demand	Q and P unchanged	Q increases, P decrease	Q decreases, P increases
Increase in Demand	Q and P increase	Q increases, P may or may not change	Q may or may not change, P increases
Decrease in Demand	Q and P decrease	Q may or may not change, P decreases	Q decreases, P may or may not change

Move towards macro

Assess the health of an economy

1. High standard of living (economic growth)

Statistic: Gross Domestic Product (GDP)

2. Stable Prices

"Stable": Federal Reserve targets 2%.

(GDP)

→ New Zealand
Central Bank
= 29% by 92%

Avoid hyperinflation: 2008 Zimbabwe

Inflation Rate = 89,700,000,000,000,000,000,000%

Doubling of prices everyday

3. Full Employment

Everyone who wants a job has a job in medium term

Avoid 25% Unemployment, OK with 50%.

Goal #1: High Standard of Living

Well-Being?

housing
↓
food
↓
health

Money/Income: Needs to be converted into something (good/service)

→ Holding money because ⇒ slope to Greed
 $f(\text{No money}) = \text{no problems}$

Standard Measure: Gross Domestic Product (GDP)

Production

GDP: the market value of all final goods & services produced for a marketplace during a given period of time, within a country's borders.

Market Value: convert production to dollar amount

Final Goods/Services: Count production bought by end-user

Households Firms Gov't

Example: Best Buy \$400 computer → Production

Step #1: Raw materials mined, sold to parts mfg for \$50

Step #2: Parts mfg converting materials into computer parts → sell parts to Dell for \$150

Step #3: Dell constructs a computer, sell to Best Buy for \$350

Step #4: Central location → consumer pays \$400

Add up transactions separately

$$50 + 150 + 350 + 400 = 950 \text{ in total transactions}$$

Double count $\rightarrow$ because we include intermediate goods

Goods used to create a final product

Examples: Coffee Beans used by Starbucks
 $\downarrow$ for a latte

Intermediate Good $\rightarrow$ final product is latte

If Matt buys coffee beans $\rightarrow$ final user, counts towards GDP

GDP: the market value of all final goods & services produced for a marketplace during a given period of time, within a country's borders.

Produced: Many important aspects to economy that are not production

$\left. \begin{array}{l} \rightarrow \text{Stocks} \\ \rightarrow \text{Bonds} \\ \rightarrow \text{Lend} \end{array} \right\}$ not produced, only consider new production that is created

Marketplace: consumers/firms gathering to buy/sell products $\rightarrow$ traded in a formal setting

Informal Marketplace: $\sim$ \$2 Trillion/yr

$\rightarrow$ Production/service that is not counted in a formal setting
 $\rightarrow$ Make dinner for yourself, lawn care, child care at home

During a Given Period of Time: Isolate date of production

Example: Car produced & sold in 2020

↳ Entire market price of car in 2020 is counted

In 2025 → Buy 2020 used car in 2025 →
already counted in 2020

What is "new" in 2025?

Certified dealer → service → Trust & Safety

↳ Value of service = commission of salesperson

Only including new products!
